

SHAWN CANTY | LEAD DATA ANALYST

Telco Churn Analysis

Behavioral Segmentation & Retention Strategy

The Business Problem

Stopping the bleed in month-to-month subscriptions.

The Situation: Month-to-month subscription cancellations have spiked to unacceptable levels.

The Constraint: The marketing team is operating with a strictly limited customer retention budget.

The Objective: Leadership lacks data-driven guidance on which customer segments to target and which offers will change their behavior.

The Strategic Approach

Prioritizing controllable behavioral levers over static demographics.

The Methodology: Conducted an exploratory cohort-based analysis of over 7,000 customer records.

The Focus: Excluded static demographics (age, gender) to isolate actionable business levers (contract types, service add-ons, and billing methods).

The Validation: Compared each segmented cohort to the 26.5% global churn baseline to pinpoint exact sources of revenue leakage.

The Revenue Leak

Isolating the exact behaviors driving cancellations.

The Baseline: The organization's global churn rate is currently 26.5%.

The Critical Vulnerability: Month-to-month customers without tech support are churning at **50.4%** (representing 1,350 lost accounts).

The Compounding Risk: Within this vulnerable month-to-month segment, churn rises further for those who pay by electronic check (**58.4%**) or use fiber optic internet (**57.5%**).

The Executive Dashboard

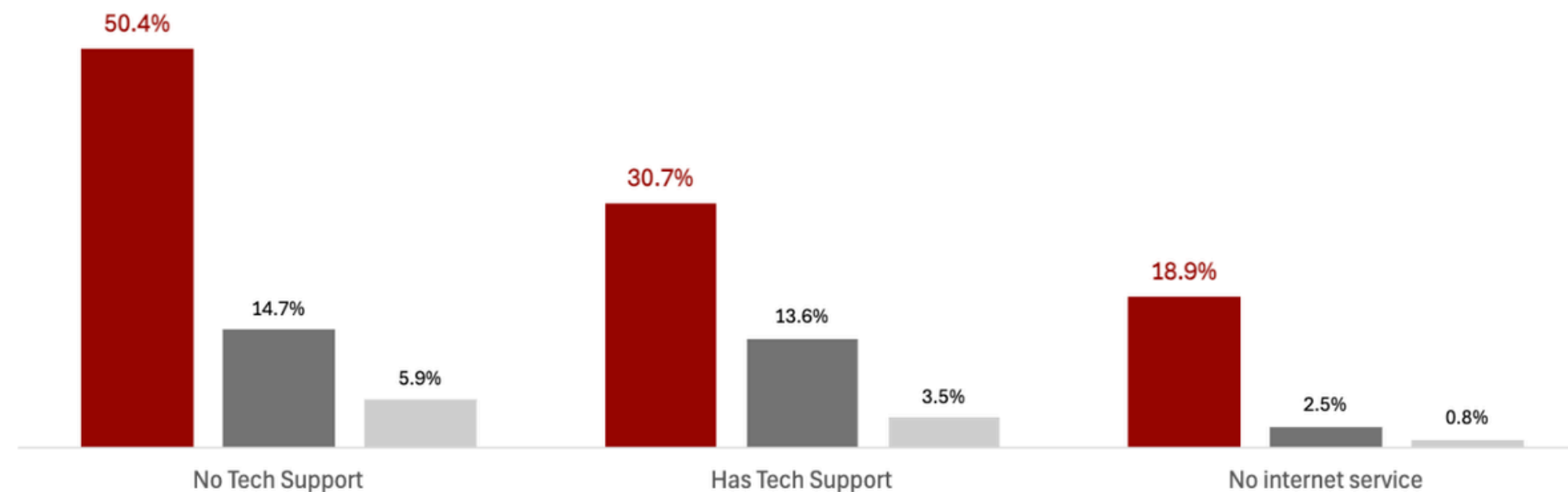
An interactive tool designed to dynamically filter and isolate high-risk cohorts.

Customer Churn Analysis by Contract & Service Type

Company Baseline Insight: Month-to-month customer churn rate without tech support is 50.4%, nearly double that of customers on 1- or 2-year contracts

Billing Type	Online Security Feature	Internet Type	Senior Status
Bank transfer (automatic)	No	DSL	No
Credit card (automatic)	No internet service	Fiber optic	Yes
Electronic check	Yes	No	
Mailed check			

M2M (No Tech) CHURN RATE
50.4%
M2M (No Tech) ACCOUNTS LOST
1,350
OVERALL BASELINE CHURN RATE
26.5%
TOTAL CANCELLATIONS
1,869



The Strategic Recommendation

Deploying the retention budget to maximize ROI.

The Target: Cease blanket demographic marketing. Deploy the retention budget exclusively to the high-risk month-to-month segment.

The Offer: Bundle Free Tech Support and Online Security as a financial incentive to migrate these users into 1-Year or 2-Year contracts.

The Mandate: Make the offer contingent on enrolling in Auto-Pay to eliminate the 58.4% churn risk linked to electronic check payments.

Immediate Next Steps

Cross-functional alignment for Q4 rollout.

Marketing & Creative: Design and A/B test the messaging for the "Free Tech Support + Online Security" bundle, targeting the month-to-month cohort.

IT & Billing Operations: Configure the payment gateway to trigger the promotional discount only when Auto-Pay (via credit card or ACH) is authenticated.

Data & Analytics: Establish 30-, 60-, and 90-day tracking cohorts in Excel to measure conversion rates and validate churn reduction.

Appendix

DATA INTEGRITY & METHODOLOGY

Data Integrity & Methodology

Processing parameters for the 7,000+ customer dataset.

Baseline Establishment: The 26.5% global churn baseline was calculated across all 7,043 unique primary keys (CustomerID) to ensure a significant control group.

Null Handling: Brand-new accounts with a Tenure of 0 and blank financial values were standardized to \$0.00 to preserve acquisition data and avoid breaking pivot calculations.

Scope Limitations: Predictive financial forecasting was excluded to maintain focus on controllable behavioral retention levers.